The need for it was amplified by an intelligence assessment of the grave consequences of economic failure in India—including the spread of communism from Kerala to "strategically situated" Bengal to the rest of the countries in Asia.[126]

At a meeting in November, Anderson, Dulles, and Nixon laid out the challenges for Eisenhower: congressional opposition and the impact on allies such as Pakistan. Nonetheless, even Nixon—not known to be a fan of nonaligned nations—argued that it was important to aid India: "If we do not, the cost will be disintegration of India and its orientation toward the Communists," which would have a deleterious impact on all of Asia. Eisenhower agreed to go big, but wanted "to break the problem down into parts." Rather than seeking special legislation, which Anderson and Dulles thought would be problematic, the administration decided to put together a package of Export-Import Bank loans, funding from the Development Loan Fund, and contributions from allies, while urging Indian economic reforms and reductions in defense expenditures.[127]

In January 1958, the administration formally told the Indian government that it was ready to discuss extending credit worth $225 million through the Development Loan Fund and the Export-Import Bank. Anticipating criticism from some allies, Washington laid out the argument for the offer: that India was of such "major political and psychological importance in Asia" that it was "obviously in [the] interest [of the] free world that India remain independent and free of Communism which would flourish if [the] economic situation deteriorates."[128] US officials avoided discussing the specifics of additional aid with Indian officials, but they knew more would have to be done.[129] And when Eisenhower met the visiting Indian vice president, he emphasized American commitment.[130]

In parliament, Nehru said the assistance would help "significantly."[131] The Indian vice president and ambassador expressed gratitude not just for the decision but also for the terms eventually agreed upon that March, as well as the lack of major conditions.[132] Countering communist criticism about American aid, Nehru not only denied that India had "barter[ed] our soul," but stressed that Washington had not even asked it to do so.[133]

The aid helped considerably, but the Indian cabinet agreed that India would need more foreign assistance—and on a "massive scale," Nehru believed.[134] India's balance of payments position was grim, and he worried